

BOARD OF CBA

MINUTES

(25.06.2013)

Refinancing Rate for June 25th, 2013

The 25th of June 2013 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of June 25, 2013. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 0.1 percent of deflation recorded in June, and the 12-month inflation amounted to 6.5 percent, stepping beyond the upper bound of the confidence band. The June deflation was mainly driven by 0.5 percent drop in food prices (making some 0.3 pp contribution), with items “vegetable and potato” and “fruit” having posted price decreases of 8.1 percent and 0.4 percent, respectively (a total of 0.52 percent contribution to deflation). Core inflation in May was 0.38 percent, with the 12-month inflation figure having reached 5.3 percent.

In the period January-May of 2013, relative to the same reference period of the previous year, the Economic Activity Indicator has been 5.3 percent, again mostly attributable to output volumes in industry and services, having increased by 8.0 percent and 4.8 percent, respectively. The growth of output in agriculture and construction has been 1.3 percent and -8.8 percent, respectively. In the event these developments persist, the second quarter of 2013 economic growth indicator would be around a 7 percent level.

In the period January- May of 2013, relative to the same reference period of the previous year, external trade turnover indicators were as follows: export (trade statistics: FOB) has increased by 9.2 percent but import (trade statistics: CIF) has decreased by 2.6 percent. Net inflow of private remittances of individuals has grown in the meantime by 10.4 percent y-o-y.

In the second quarter of 2013 private consumption growth rates slowed down due to the phased out supply shock seen in agriculture in the past year. Furthermore, private investment was recovering at slower-than-expected rates, primarily attributable to the slowing of growth rates in construction and industry. The CBA estimates suggest that the quarter will end with private consumption and private investment to have reported 5.5 percent and 4.1 percent y-o-y increases, respectively. Based on the second quarter's data, the fiscal policy's impact on aggregate demand is estimated to be even more contractionary against the projected expansionary, which is mainly determined by savings on public expenditures because of reported shortfalls on certain projects that rely on external funding.

The developments in the financial market were as follows: with the CBA refinancing rate still unchanged, monthly interest rates performed relatively stable during the second quarter, marked with slightly downward trends, though. As of late June, average monthly interbank repo rate was 8.5 percent (posting a 0.3 pp drop against end-March); market rate of treasury bills with up to 1-year of maturity fell by 0.5 pp to roughly 9.0 percent; and interest rate of stock exchange-traded interbank loans dropped by 0.2 pp to 8.0 percent.

As of end-June 2013, relative to the past March average, the dram exchange rate has appreciated versus the U.S. dollar by 0.5 percent to AMD 412.6; it however depreciated versus Euro by 1.2 percent to AMD 543.6, and, again, there was appreciation versus Ruble by 5.5 percent to AMD 12.8.

Based on May 2013 results, the monetary policy indicators performed as follows: the 12-month growth of broad money and dram broad money were, respectively, 17.8 percent and 10.2 percent, with y-o-y growth of dram deposits and foreign currency deposits having reached 15.4 percent and 27.5 percent. Growth rates of lending to the economy amounted to 20.6 percent y-o-y, in which structure loans in foreign currency again prevailed.

In the second quarter of 2013 the world's main commodity and food product markets were facing deflationary patterns as uncertainties over reaching political solution to debt problems in developed countries as well as sluggish global economic growth rates persisted. In the second quarter of 2013, relative to the previous quarter, the average price of "Brent" crude, as quoted at Intercontinental Exchange, has plunged by 8.7 percent (with y-o-y decrease of 5.3 percent). At

London Metal Exchange the copper price is expected to decline by 8.8 percent q-o-q (with y-o-y decrease of 7.8 percent).

The Food Price Index of FAO dropped in May by 0.28 percent against the previous month's index, and the Index has risen by 5.1 percent in relation to the same reference period of the previous year. Based on the second quarter data as released by the U.S. Department of Agriculture, there has been an estimated drop in export prices of Hard Red Wheat and Rough Sugar, by 2.0 percent q-o-q (with y-o-y growth of 17.1 percent) and 5.5 percent q-o-q (with y-o-y decrease of 19.5 percent), respectively.

The depreciation of Euro against the U.S. dollar in the second quarter is estimated around 1.1 percent (with y-o-y appreciation of 1.9 percent).

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The world's main commodity and food product markets saw deflationary patterns as uncertainties over reaching political solution to debt problems in developed countries as well as sluggish global economic growth rates persisted. Under such developments, in the forecast horizon, the external sector will be marked by a slow recovery rate in world economic growth as well as non-inflationary patterns.

Based on the account of latest developments, the CBA Board acknowledged the contraction of the previous year's excess growth of real consumption, so influenced by gradually phased out supply shock in agriculture. In the meanwhile, the Government's fiscal policy has proved more contractionary than originally programmed. As a result, the influence from the Armenian economy on domestic prices remains non-inflationary in the forecast horizon. With such deflationary factors in play, in the second quarter the inflation environment expanded due to negative developments in agriculture – late vegetation period, in particular – and inflation expectations. This reflected smaller-than-expected drop in prices of food products, prompting the CBA to reckon the semi-annum will end with the 12-month inflation indicator above the projection.

In view of the aforementioned developments as well as the fact that this high inflationary environment results from a temporary supply shock, the Board finds it reasonable to leave the refinancing rate unchanged. A real positive interest rate would allow the CBA to anchor the inflation expectations and shore up economic activity. Another CBA arrangement – a lowered ratio of reserve requirement for dram funds – helped maintain a sufficient level of liquidity in the economy.

At the same time, the CBA is prepared to react accordingly to inflationary expectations and their second-round effects as energy prices are starting to increase from July.

In this circumstance, by the second half of the next year the 12-month inflation will approach the 4 percent target and stay around in the forecast horizon whilst economic growth will be within its equilibrium.

In the 25th of June 2013 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 9.5 percent and 6.5 percent, respectively.